

Summary Report: The Economic Ripple Effects of the Russia–Ukraine War

Executive Summary

This dashboard analyzes how the Russia–Ukraine war reshaped global commodity markets, inflation patterns, and financial outcomes across countries and sectors. The findings show that the shock was **not uniform** — instead, it propagated unevenly through global markets depending on structural factors such as energy dependence, currency strength, and geopolitical positioning.

Three key insights emerge from the analysis:

1. The war triggered a **sharp surge in commodity prices**, especially in energy markets.
2. Inflation impacts varied significantly across countries, with **emerging economies experiencing the most severe spikes**.
3. Financial markets exhibited a clear **redistribution of value**, with defense-related firms and strategic traders gaining, while Russia's domestic market suffered major losses.

1. Global Commodity Shock

The war disrupted global supply chains, particularly in energy and agricultural markets. Russia and Ukraine are major exporters of oil, gas, wheat, and fertilizers. The sudden disruption in supply caused prices to rise sharply across these commodities.

The dashboard shows that **EU gas prices experienced the largest spike**, followed by oil, while wheat prices increased more gradually. This indicates that the primary transmission channel of the shock was **energy markets**, which then fed into broader inflation across the global economy.

The persistence of elevated prices beyond the initial spike suggests that the war created a **prolonged inflationary environment**, rather than a temporary price disturbance.

2. Uneven Inflation Across Countries

While commodity prices increased globally, inflation outcomes differed significantly across countries. The dashboard reveals that **a small group of countries experienced extreme inflation**, while others saw relatively moderate changes.

This uneven impact can be explained by three structural factors:

- **Import Dependence:** Countries heavily reliant on imported energy and food faced higher costs when global prices surged.
- **Currency Weakness:** Since commodities are priced in US dollars, depreciation of local currencies amplified inflation by increasing the domestic cost of imports.
- **Economic Resilience:** Developed economies were better able to absorb shocks due to stronger institutions, stable currencies, and policy interventions, while emerging economies faced greater constraints.

As a result, **emerging economies experienced the most severe inflation spikes**, confirming that global shocks are filtered through domestic vulnerabilities.

3. Winners and Losers in Financial Markets

The war did not only generate losses — it also created significant gains for certain sectors and countries.

On the **winners' side**, defense companies such as Rheinmetall saw substantial growth due to increased military spending. Additionally, countries like India benefited from **trade arbitrage**, importing discounted Russian crude oil, refining it, and exporting it at market prices.

On the **losers' side**, Russia's domestic stock market (MOEX) experienced a sharp decline following the invasion, reflecting sanctions, investor uncertainty, and capital outflows. Other vulnerable economies also faced economic contraction due to rising costs and supply disruptions.

This highlights that the war led to a **redistribution of economic value**, rather than a uniform decline.

Conclusion

The Russia–Ukraine war produced a complex and multi-layered economic shock. It disrupted global commodity markets, triggered inflation across vulnerable economies, and reshaped financial outcomes across sectors.

The key takeaway is that **global shocks do not affect all countries equally**. Instead, the impact depends on a country's exposure to global supply chains, its currency stability, and its strategic positioning in international markets.

Ultimately, the war demonstrates that in times of crisis, **economic outcomes are determined not just by the shock itself, but by how well countries and sectors are positioned to absorb or exploit it.**